purchasing power of the masses will be enhanced? And increased income takes time to reach everybody. If the economy lacks political stability, this process takes even more time due to short-term goals set by the unstable and frequently changing governments—the exact case is with India.

The LPG

The process of reforms in India has to be completed via three other processes namely, liberalisation, privatisation and globalisation, popular by their short-form—the LPG. These three processes specify the characteristics of the reform process India initiated. Precisely seen, liberalisation shows the ***direction*** of reform, privatisation shows the ***path*** of reform and globalisation shows the ultimate ***goal*** of the reform. However, it would be useful to see the real meanings of these terms and the exact sense in which they are being used worldwide and particularly in India.

LIBERALISATION

The term liberalisation has its origin in the political ideology 'liberalism' which took its form by early nineteenth century (it developed basically in the previous three centuries). The term is sometimes protrayed as a ***meta-ideology*** capable of embracing a broad range of rival values and beliefs. The ideology was the product of the breakdown of feudalism and the growth of a ***market*** or ***capitalist*** society[14] in its place which became popular in economics via the writings of Adam Smith (its founding father in the USA) and got identified as a principle of ***laissez-faire.***[15]

The term liberalisation will have the same connotation in economics as its root word liberalism has. Pro-market or pro-capitalistic inclination in the economic policies of an economy is the process of liberalisation. We see it taking place in the whole Euro-America in 1970s and particularly in the 1980s.[16] The most suitable example of this process could be China of the mid-1980s when it announced its ***'open door policy'.*** Though China lacks (even today) some trademark traits of liberalism, as for example